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Eduqas GCSE Geography (C/4) — Component 2

2.3 Global Development

1. Defining Development

Development refers to improvements in the standard of living and quality of life for people within a country. It is measured across two broad dimensions:

- **Economic development** — growth in wealth, industrialisation, trade, and GDP per capita.
- **Human development** — improvements in quality of life: health, education, wellbeing, and political freedom.

Development is best understood as a **continuum** — a sliding scale from the least to most developed — rather than a binary division of "developed" and "developing" worlds. Countries sit at different points on this continuum and move along it over time.

Classification of Countries

HICs (High Income Countries) — GNI per capita above ~$12,695 (World Bank threshold). Examples: USA, UK, Germany, Japan, Australia.

LICs (Low Income Countries) — GNI per capita below ~$1,085. Examples: Niger, South Sudan, DR Congo, Afghanistan.

NEEs (Newly Emerging Economies) — Countries rapidly industrialising and growing, often moving from LIC/MIC status. Examples: China, India, Brazil, Nigeria, Mexico, Indonesia, Turkey, South Africa.

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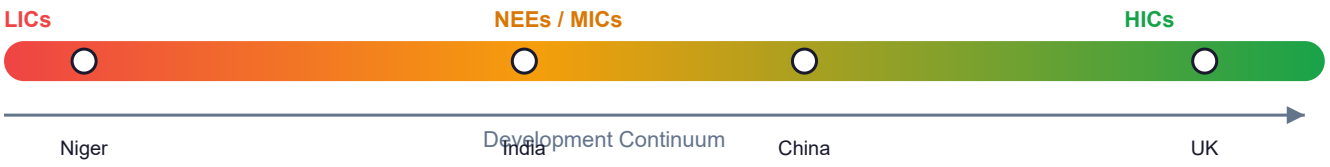

Exam Tip: Avoid using the terms "first world / third world" or "developed / developing" in exam answers — they imply a binary and are outdated. Use HIC, LIC, NEE, or "more/less economically developed country" (MEDC/LEDC). Eduqas mark schemes reward precise terminology.

2. Measuring Development

Development can be measured using **single indicators** (one measure) or **composite indicators** (combining multiple measures).

Single Indicators

Indicator	What It Measures	Advantage	Limitation
GNI per capita (US$)	Average wealth per person (Gross National Income / population)	Easy to compare internationally	Ignores inequality (distribution of wealth)
Birth rate (per 1,000)	Number of live births per 1,000 people per year	Indicates healthcare, education level	Affected by age structure of population
Death rate (per 1,000)	Number of deaths per 1,000 people per year	Reflects healthcare quality	HICs can have high death rates due to ageing population
Infant mortality rate (per 1,000)	Deaths of children under 1 year per 1,000 live births	Very sensitive indicator — falls quickly with development	May not reflect adult quality of life
Life expectancy (years)	Average expected lifespan at birth	Reflects healthcare, nutrition, safety	Averages hide internal inequalities

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Literacy rate (%)	% of adults who can read and write	Shows educational access	Doesn't measure quality of education
Access to clean water (%)	% of population with safe water supply	Directly linked to health outcomes	Data can be unreliable in LICs
Calorie intake (per day)	Average daily calories consumed per person	Indicates food security and nutrition	Doesn't distinguish between nutritious/non-nutritious calories

Composite Indicator: Human Development Index (HDI)

HDI (Human Development Index) — developed by the UNDP, combines three dimensions into a score between 0 and 1:

1. **GNI per capita** (economic dimension)
2. **Life expectancy at birth** (health dimension)
3. **Mean years of schooling + expected years of schooling** (education dimension)

Country	HDI Score (2022)	Category	GNI per capita (US$)	Life Expectancy
Norway	0.966	Very High	$82,500	83.2 years
UK	0.940	Very High	$45,225	81.3 years
China	0.788	High	$19,590	78.2 years
India	0.644	Medium	$7,420	67.7 years
Ghana	0.632	Medium	$5,269	64.1 years
Niger	0.394	Low	$1,284	62.4 years

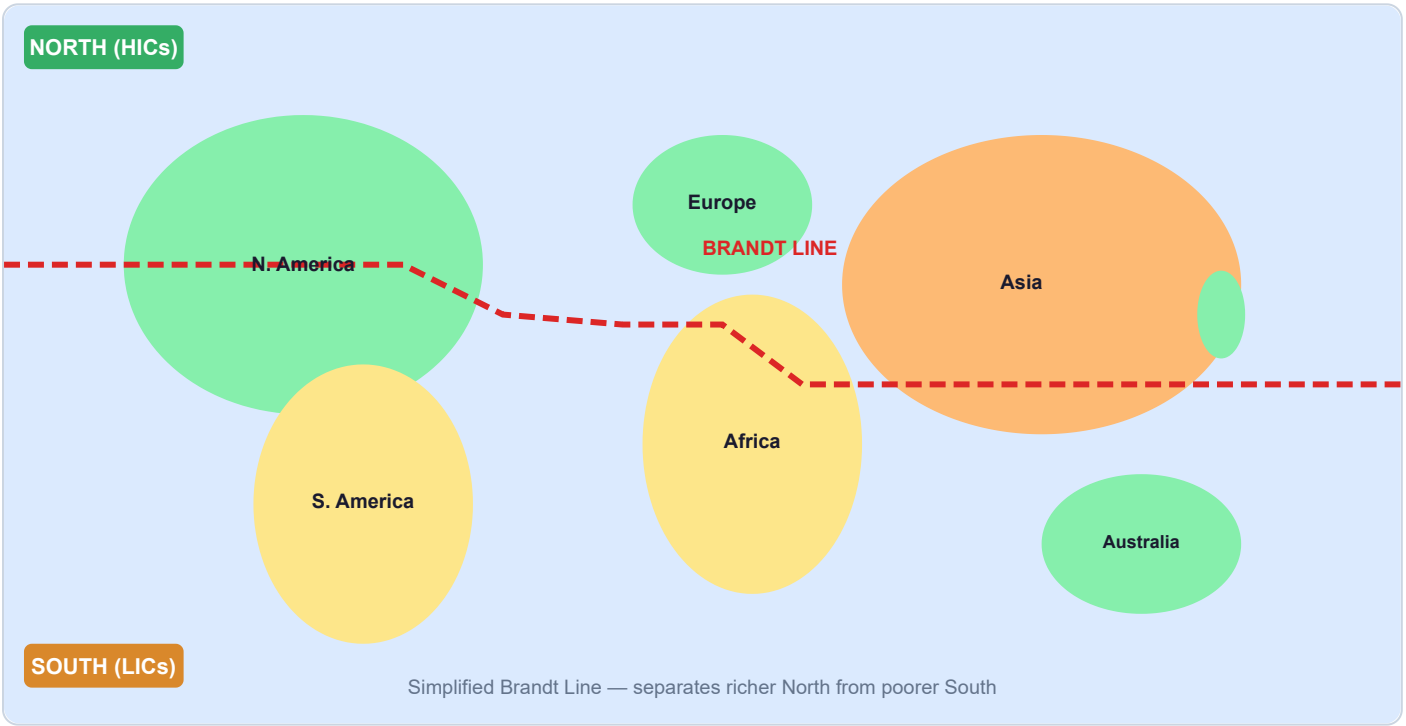
Advantages of HDI: more rounded than single indicators; recognises that development is multidimensional; widely used for international comparison.

Limitations of HDI: still doesn't capture inequality within countries; ignores environmental sustainability; ignores gender inequality, political freedom, happiness.

> **Exam Tip:** The infant mortality rate is considered the most "sensitive" single indicator because it responds quickly to improvements in development (healthcare, sanitation, nutrition). Mention this in evaluation questions about measuring development.

3. Patterns of Development

Wealth and development are unevenly distributed globally. A broad pattern is visible in the **North-South divide**, summarised by the **Brandt Line**.



Simplified Brandt Line — separates richer North from poorer South

Key patterns of global wealth distribution:

- HICs are concentrated in North America, Western Europe, Japan, and Australia/NZ.
- LICs are concentrated in sub-Saharan Africa and parts of South/Southeast Asia.
- Sub-Saharan Africa has the highest concentration of the world's LICs.
- NEEs — the BRICS (Brazil, Russia, India, China, South Africa) and MINT (Mexico, Indonesia, Nigeria, Turkey) — are rapidly changing the global economic landscape.

- The Brandt Line is a simplification: Australia and New Zealand are geographically south but economically "north".

Exam Tip: The Brandt Line is a useful concept but always note its limitations — it oversimplifies a complex spectrum. Australia and NZ are exceptions. Many NEEs are in the "south" but are growing rapidly.

4. Causes of Uneven Development

Uneven development has multiple, interrelated causes — both physical and human.

Physical Causes

- **Landlocked countries** — no access to sea trade routes, making trade expensive (Mali, Chad, Zambia). 16 of the world's 32 landlocked developing countries are in Africa.
- **Tropical climate** — high temperatures and humidity increase prevalence of diseases (malaria, dengue) which reduce workforce productivity. Seasonal droughts reduce agricultural output.
- **Natural hazards** — frequent earthquakes, floods, cyclones destroy infrastructure and divert development funds to disaster relief (Haiti, Bangladesh).
- **Lack of natural resources** — limited mineral or energy wealth restricts income generation. However, the "resource curse" shows that over-reliance on a single resource (e.g. oil in Nigeria) can actually worsen inequality if wealth is poorly distributed.

Human Causes

- **Colonialism** — European powers extracted resources, cash crops, and labour from colonies for centuries. Infrastructure built to serve colonial export needs, not local development. Borders drawn arbitrarily, ignoring ethnic groups, causing post-independence conflict.
- **Trade inequality** — "Terms of trade" work against LICs. LICs export primary commodities (cocoa, coffee, copper) at volatile, low prices; import manufactured goods at higher prices. "Commodity trap" — prices set by global markets, not producers.
- **Debt** — Many LICs borrowed heavily in the 1970s-80s for development; interest repayments now exceed incoming aid. World Bank and IMF Structural Adjustment Programmes (SAPs) required cuts to health/education spending — worsening development.

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- **Political instability** — corruption diverts funds; civil war destroys infrastructure and displaces populations. South Sudan — world's youngest nation — has suffered civil war since 2013, preventing development. Conflict deters foreign investment.
- **Poor governance** — weak institutions, lack of rule of law, and corruption reduce effectiveness of development spending.

Exam Tip: "Explain why development is uneven" questions require you to state, explain, and link multiple causes. Don't just list them — explain the mechanism (e.g. "landlocked countries face higher transport costs, which makes imports more expensive and reduces trade, slowing economic growth").

5. Trade and Development

International trade is a major driver of development — but access to trade and its terms are unequal.

Fairtrade

Fairtrade — a trading partnership that ensures producers in LICs receive a guaranteed minimum price for their goods, plus a "Fairtrade Premium" (extra money for community projects). Managed by the Fairtrade Foundation. Over 1.66 million farmers and workers across 74 countries. Products include cocoa, coffee, bananas, cotton, gold.

- **Benefits:** stable income, social premium for schools/wells/healthcare, empowers smallholder farmers, encourages environmental standards.
- **Criticisms:** only a small fraction of the Fairtrade price reaches farmers; consumers pay more but benefit may be limited; not all large-scale producers can access Fairtrade certification.

Trade Blocs and the WTO

- **Trade blocs** (e.g. EU single market, NAFTA/USMCA) reduce tariffs between member countries — benefitting members but excluding LICs.
- **WTO (World Trade Organisation)** — sets global trade rules. Accused of favouring HIC agendas; agricultural subsidies in the EU/USA undercut LIC farmers.

Commodity Dependence

- **Ghana** — heavily dependent on cocoa and gold exports. When cocoa prices fall, government revenue falls sharply.
- **Nigeria** — oil accounts for ~90% of export revenue and ~70% of government income. The "Dutch Disease": oil wealth causes the currency to rise, making other exports uncompetitive and damaging manufacturing.

6. Aid

Aid is the transfer of resources (money, goods, expertise) from one country or organisation to another, usually to help development or respond to a crisis.

Types of Aid

Type	Description	Example
Bilateral aid	Government to government, often with political strings attached ("tied aid")	UK aid to Pakistan (FCDO)
Multilateral aid	Channelled through international organisations (UN, World Bank, IMF)	World Bank infrastructure loans
NGO aid	Non-governmental organisations funded by voluntary donations	Oxfam, Red Cross, WaterAid
Emergency/short-term aid	Rapid response to disasters — food, shelter, medicine	Nepal earthquake 2015 response
Long-term/development aid	Building infrastructure, improving education, strengthening institutions	WaterAid installing clean water systems

Tied Aid

Tied aid — aid with conditions: recipient country must spend the money on goods/services from the donor country. Critics argue this benefits donor economies more than recipients.

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Aid Debate

Arguments FOR aid	Arguments AGAINST aid
Saves lives in emergency situations	Can create dependency — countries rely on aid rather than developing own economies
Funds education and healthcare that governments cannot afford	Tied aid benefits donor country companies, not recipients
Builds essential infrastructure (roads, dams, schools)	Corruption diverts aid funds away from intended recipients
Transfers technology and expertise	Inappropriate technology may not suit local conditions or skills
Helps rebuild after natural disasters	Aid can suppress local agricultural markets (food aid undercuts local farmers)

Exam Tip: When evaluating aid, use the phrase "sustainable development" — the most effective aid builds local capacity rather than creating dependency. Long-term development aid is generally considered more beneficial than emergency aid in the longer term.

7. Other Strategies to Reduce Inequality

Microfinance / Microcredit

Microfinance — small loans (micro-loans) given to individuals (often women) in LICs to start or grow small businesses, without requiring collateral. Developed by the Grameen Bank in Bangladesh (founded 1983 by Muhammad Yunus). Over 9 million borrowers, 97% women. Average loan ~$200. Success rate high: ~98% repayment.

Benefits: empowers women, breaks poverty cycle, stimulates local economy, does not create national debt.

Criticisms: high interest rates in some schemes, small scale — cannot address systemic inequality.

Debt Relief

The **HIPC (Heavily Indebted Poor Countries) initiative** — IMF/World Bank programme that cancelled $76 billion of debt for 36 qualifying countries. Freed up government funds for health and education spending (Mozambique, Uganda, Bolivia). Conditions applied — some argue these conditions still favour creditor countries.

Intermediate/Appropriate Technology

> **Appropriate technology** — technology that is suited to the local environment, skills, culture, and economic circumstances of the community. Often simple, low-cost, repairable locally. Championed by NGO Practical Action (formerly ITDG).

- Wind pumps for irrigation (Kenya) — no fuel needed, maintained locally.
- Solar cookers (India) — reduce firewood use, improve health (less indoor smoke).
- Biosand filters (Cambodia) — clean water at low cost.
- Treadle pumps (Bangladesh) — foot-powered irrigation for small farmers.

Tourism

Tourism brings foreign exchange to LICs and NEEs. **Kenya** — safari tourism earns ~$1.5bn/year, creating jobs in rural areas. **Maldives** — ~28% of GDP from tourism. However: leakage (profits leaving to TNC-owned hotels in HICs), environmental damage (reef degradation), seasonality of income, vulnerability to global events (COVID-19 devastated Maldives tourism).

Export Processing Zones (EPZs)

EPZs are designated areas where companies pay reduced taxes and have relaxed regulations to attract foreign investment and manufacturing. China used EPZs (Shenzhen Special Economic Zone from 1980) as a key driver of rapid industrialisation and export growth.

8. Case Study: Development in an African Country — Ghana

Case Study: Ghana — Development in sub-Saharan Africa

Location: West Africa, Gulf of Guinea coastline. Population: ~33 million (2023). Capital: Accra.

Development data (2022): GNI per capita ~$2,200 | HDI 0.632 (medium human development) | Life expectancy: 64.1 years | Literacy rate: 76% | Infant mortality: 33 per 1,000 live births.

Economy: Main exports — gold (~48% of export revenue), cocoa (~20%), oil (since 2010 — Jubilee oil field). Ghana is Africa's largest gold producer and the world's 2nd largest cocoa producer.

Challenges to Development

- **Commodity dependence** — export revenues fluctuate with world cocoa and gold prices, making government planning difficult. When cocoa prices fell in 2016–17, Ghana faced an economic crisis.
- **Inequality** — sharp divide between urban south (Accra, Kumasi) and rural north. Northern Ghana has infant mortality rates twice those of the south. Poverty rate in Northern Region ~50% vs ~10% in Greater Accra.
- **Debt** — external debt reached 107% of GDP in 2022, forcing Ghana to seek an IMF bailout ($3bn, 2023). Interest repayments consumed ~70% of government revenue.
- **Health challenges** — malaria remains a major burden (~7 million cases/year), reducing workforce productivity. HIV/AIDS prevalence ~1.7%.
- **Infrastructure** — unreliable electricity supply ("dumsor" power cuts), poor rural road networks limit agricultural market access.

Progress and Achievements

- **Economic growth** — sustained GDP growth averaging 6–8% (2007–2019), one of Africa's fastest-growing economies. Ghana was the first sub-Saharan African country to achieve MDG 1 (halving poverty) ahead of the 2015 deadline.
- **Literacy** — improved from ~54% (1990) to 76% (2022) through investment in free basic education (FCUBE programme).
- **Mobile revolution** — mobile phone penetration >130% (multiple SIMs), enabling mobile banking (M-Pesa equivalent: MTN Mobile Money), reducing financial exclusion.
- **Fairtrade cocoa** — Kuapa Kokoo cooperative (founded 1993): 100,000+ smallholder cocoa farmers receive guaranteed prices and Fairtrade premium. Co-owners of Divine Chocolate (UK).

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School buildings, wells, and healthcare built with premium.

- **Oil revenues** — since Jubilee oil field came on stream (2010), petroleum has added a new revenue stream, though management of revenues is crucial to avoid the resource curse.

9. Case Study: Newly Emerging Economy — China

Case Study: China — The World's Fastest-Growing Major Economy

Key facts (2023): Population 1.4 billion | GDP $18 trillion (2nd largest in world) | GDP per capita ~$12,800 | HDI 0.788 (high) | Urban population: 65%.

Drivers of Development

- **Manufacturing hub** — "the world's factory." Labour-intensive manufacturing (electronics, textiles, toys, steel) attracted by cheap labour and government investment. Exports grew from $18bn (1980) to $3.6 trillion (2023).
- **Foreign Direct Investment (FDI)** — China became world's largest FDI recipient. Special Economic Zones (Shenzhen, Guangdong) created since 1980s attracted TNCs with tax breaks and low-cost labour.
- **Belt and Road Initiative (BRI)** — launched 2013, investing in infrastructure (ports, railways, roads) across 150+ countries. Aimed at opening new trade routes, expanding Chinese influence globally. Criticised as "debt-trap diplomacy".
- **Growing middle class** — estimated 400 million+ people in China's middle class (largest in the world). Increasing domestic consumption is driving economic transition from manufacturing to services.

Challenges

- **Inequality** — Gini coefficient (inequality measure) is high (~0.47). Rural-urban divide stark: urban per capita income 2.5x rural income. Coastal regions far wealthier than inland provinces.
- **Pollution** — rapid industrialisation caused severe air, water, and soil pollution. Beijing's air quality regularly exceeds WHO danger levels. "Cancer villages" near industrial sites. China is world's largest CO_2 emitter.

- **Human rights** — political freedoms remain very limited; treatment of Uyghur Muslims in Xinjiang internationally condemned; Tiananmen Square legacy.
- **Ageing population** — legacy of the one-child policy (1980–2015): shrinking workforce, rising elderly dependency ratio. China abolished the policy in 2015 and moved to a three-child policy in 2021.
- **Middle-income trap** — transitioning from cheap manufacturing to high-value innovation is challenging. Competition from Vietnam, Bangladesh, and other lower-wage economies.

10. Globalisation and Development

Globalisation — the increasing interconnectedness of the world through trade, investment, migration, and communications.

Transnational Corporations (TNCs)

TNCs (Transnational Corporations) — companies that operate in multiple countries. Examples: Nike, Apple, Shell, Unilever, Samsung. They locate headquarters in HICs but manufacturing in LICs/NEEs to exploit lower labour costs, tax advantages, and weaker regulations.

Positive impacts on LICs/NEEs	Negative impacts on LICs/NEEs
Creates employment (often thousands of jobs)	Low wages — often close to minimum; poor working conditions
Technology transfer to local workers and firms	Profits repatriated back to HIC headquarters — "leakage"
Brings Foreign Direct Investment (FDI)	Environmental damage — weaker regulations exploited
Develops infrastructure (roads, ports)	Worker exploitation — long hours, unsafe conditions (Rana Plaza, Bangladesh 2013)
Increases exports and government tax revenue	Undermines local industries through competition

The Global Shift

Since the 1970s–80s, manufacturing has shifted from HICs (USA, UK, Germany) to NEEs and LICs (China, Vietnam, Bangladesh, Mexico). This "global shift" has brought rapid industrialisation to Asia in particular, reducing absolute poverty for hundreds of millions of people. However, it has also led to deindustrialisation and job losses in traditional manufacturing regions of HICs (e.g. Rust Belt, USA; steel towns in Wales/NE England).

Exam Tip: For TNC evaluation questions, structure your answer around: economic impacts (jobs, FDI, tax), social impacts (working conditions, urbanisation), and environmental impacts. Use a named TNC with specific details — Nike in Vietnam, or Apple's Foxconn factories in China — to access top marks.

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